

NMLS SAFE MLO EXAM PREPARATION

Practice Exam 4 of 7

Scheduled for: Sunday, April 20, 2026

Focus: HOEPA, Regulation Z + Conventional Products & Fraud

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	4 Hours	75% (90 correct)	April 24, 2026

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. Under RESPA, which of the following settlement services is subject to Section 8 anti-kickback provisions?

- Property tax payments
- Title insurance, appraisals, and loan origination services
- Building permits
- Homeowners association dues

2. A lender fails to provide the Loan Estimate within 3 business days of receiving a completed application. This is a violation of:

- ECOA only
- TRID (TILA-RESPA Integrated Disclosure rule)
- HMDA
- FCRA

3. What is the primary difference between TILA's 'amount financed' and the loan amount?

- They are always the same
- Amount financed equals the loan amount minus prepaid finance charges (fees)
- Amount financed is higher than the loan amount due to insurance
- Amount financed includes the escrow account balance

4. Under the Fair Housing Act, which of the following types of advertising is ILLEGAL?

- Advertising in a Spanish-language newspaper to reach Spanish-speaking consumers
- Using the phrase 'perfect for young professionals' which may discourage families with children
- Listing a property's school district in an advertisement
- Using fair housing logos in advertisements

5. Under TILA, 'trigger terms' in mortgage advertising are specific loan terms that, when stated, require additional disclosures. Which of the following is a trigger term?

- The lender's phone number
- The down payment amount (e.g., '5% down!')
- The property's address
- The loan officer's name

6. RESPA Section 6 governs mortgage loan servicing transfers. When a loan is transferred to a new servicer, when must the borrower be notified?

- At least 30 business days before the transfer
- At least 15 business days before the effective date of the transfer
- Within 7 days after the transfer
- No notice is required

7. What does TILA's 'right of rescission' give borrowers?

- The right to renegotiate the interest rate after closing
- The right to cancel a non-purchase, primary residence refinance within 3 business days of closing, without penalty
- The right to rescind a purchase contract before closing
- The right to refuse an appraisal

8. Under ECOA, can a lender require a non-applicant spouse to sign a mortgage document?

- Yes, always in community property states
- Yes, if the spouse's income is needed to qualify
- Only to sign title/security instrument documents if required by state law — not to sign the note unless they are on the loan
- Yes, whenever the property will be the couple's primary residence

9. Under HMDA, data collection on race and ethnicity of applicants is:

- Required only for minority applicants
- Required for all applicants for covered loans; the MLO observes and records race/ethnicity if not provided by the applicant
- Optional for non-government loans
- Prohibited under ECOA privacy rules

10. What is the 'Regulation B' (ECOA) requirement for providing credit score information with an adverse action notice?

- Credit scores are never required in adverse action notices
- When a credit score was a factor in adverse action, the consumer must receive a credit score disclosure notice with the score, scoring range, key factors, and date obtained
- Only the name of the credit bureau is required
- Credit score disclosure is optional

11. Under the Bank Secrecy Act, what is a 'beneficial owner'?

- The lender who benefits from mortgage payments
- For BSA/AML compliance, an individual who owns 25%+ of a legal entity or who exercises significant control over the entity — must be identified and verified
- The property owner before foreclosure
- The investor who purchases mortgage-backed securities

12. What does the 'Servicemembers Civil Relief Act (SCRA)' provide for military members with mortgages?

- Free mortgages for active duty military
- Interest rate caps at 6% on mortgages taken before active duty and foreclosure protections during active service
- No mortgage payments while deployed
- Automatic forgiveness of mortgage debt after service

13. Under TILA, what is the 'total of payments' on a mortgage disclosure?

- The loan amount only
- The total amount the borrower will have paid after making all scheduled payments, including interest and other finance charges
- The total interest paid over the loan's life
- The total closing costs paid at settlement

14. What is the significance of the 'three-day delivery rule' under TRID?

- Closings must occur within 3 days of the Loan Estimate
- When the Closing Disclosure is mailed, 3 additional calendar days are added to determine when it is 'received' for the waiting period calculation
- Loan Estimates must be accepted within 3 days
- Application fees must be paid within 3 days of application

15. What is an MLO required to disclose under TILA Regulation Z regarding loan originator compensation?

- Nothing — compensation is confidential
- MLO compensation arrangements must be disclosed on the Closing Disclosure as part of total origination charges
- Only the MLO's employer compensation
- Compensation is disclosed via a separate HUD form

16. What is 'negative equity' (being 'underwater' on a mortgage)?

- Having a negative interest rate on the mortgage
- When the outstanding mortgage balance exceeds the current market value of the property
- When the monthly payment exceeds the borrower's income
- Having negative credit items on a credit report

17. Under the SAFE Act, what constitutes 'taking a residential mortgage loan application'?

- Only printing the application form
- Receiving information in connection with a request for a residential mortgage loan, to assist the applicant in obtaining the loan
- Only accepting applications online
- Reviewing the appraisal only

18. What does RESPA prohibit regarding title insurance?

- Selling owner's title insurance
- A seller requiring a buyer to purchase title insurance from a specified company as a condition of the sale
- Lenders requiring lender's title insurance
- Title companies offering discounts

19. Under TILA, when is a mortgage advertisement required to include the APR?

- Always, in every advertisement
- Only when a triggering term is used (e.g., specific payment amount, specific rate in a non-simple advertisement, or specific down payment)
- Only in print advertising
- Only on the lender's website

20. Under ECOA, what is a 'incomplete application'?

- An application with any missing information
- An application that is missing information required by the creditor to make a credit decision, after the creditor has notified the applicant of the missing information
- An application rejected by the AUS
- An application submitted through a third party

21. What does FCRA's 'fraud alert' provision allow consumers to do?

- Alert the credit bureaus to delete all negative items
- Place a flag on their credit file that requires creditors to take extra steps to verify the consumer's identity before extending credit
- Prevent their credit report from being accessed by anyone
- Force creditors to cancel existing accounts

22. Under HMDA, what is the purpose of the 'action taken' field in the Loan Application Register?

- To record the interest rate offered
- To record what happened with each application: originated, approved but not accepted, denied, withdrawn, or file closed for incompleteness
- To record the appraisal results
- To record the underwriter's decision reason

23. What is the CFPB's 'Supervisory Examination' process?

- An annual exam all MLOs must pass
- An examination conducted by CFPB examiners of financial institutions to assess compliance with federal consumer financial laws
- A public hearing on mortgage regulations
- A test required for NMLS licensure

24. Under TILA, the 'finance charge' disclosure on the Closing Disclosure represents:

- The interest rate on the loan
- The total dollar cost of credit including interest and most fees over the life of the loan
- The origination fee only
- The total monthly payment multiplied by 12

25. Under RESPA, what is the 'Servicing Disclosure Statement'?

- A disclosure about the loan officer's compensation
- A disclosure informing borrowers of whether the lender intends to service the loan or may transfer servicing to another servicer
- A disclosure about hazard insurance requirements
- A disclosure about escrow account policies

26. Under the Gramm-Leach-Bliley Act (GLBA), when must financial institutions provide a privacy notice to customers?

- Only when sharing information with third parties
- At the start of a customer relationship and annually thereafter, informing them of information-sharing practices and opt-out rights
- Only when a customer requests it
- Only when the institution changes its privacy practices

27. Under TILA, 'open-end credit' (like a HELOC) has a different disclosure regime from closed-end credit. Which of the following applies to open-end mortgages?

- Open-end mortgages require the same Loan Estimate and Closing Disclosure as closed-end loans
- Open-end mortgages require account-opening disclosures, periodic statements, and specific HELOC-related disclosures rather than the TRID disclosure forms
- Open-end mortgages are exempt from TILA disclosure requirements
- Open-end mortgages require only a credit agreement

28. What is the 'conforming loan limit' for 2024 in most areas of the United States?

- \$417,000
- \$548,250
- \$766,550
- \$1,000,000

Section 2: General Mortgage Knowledge

29. What does 'mortgage insurance premium' (MIP) apply to?

- All conventional loans
- FHA loans specifically — both UFMIP and annual MIP
- All government-backed loans including VA and USDA
- Only loans with LTV above 95%

30. What is an 'asset depletion' or 'asset dissipation' income calculation?

- A way to calculate rental income from investment properties
- A method of qualifying based on liquid assets rather than regular income — assets are divided over a period to calculate monthly income
- A penalty for depleting retirement assets
- A method to calculate DTI for self-employed borrowers

31. What is a 'Ginnie Mae' (GNMA) mortgage-backed security?

- An MBS issued by a private bank
- An MBS backed by government-insured loans (FHA, VA, USDA), carrying the full faith and credit of the U.S. government
- An MBS issued by Fannie Mae
- An MBS for jumbo loans only

32. What is 'prepaid interest' on a Closing Disclosure?

- Interest paid in advance to reduce the rate
- Daily interest that accrues from the closing date to the end of the month, paid at closing
- The first month's mortgage payment paid at closing
- Interest charged as a penalty for early payoff

33. What is a 'streamline refinance'?

- A fast-closing refinance for any loan type
- A simplified refinance process available for FHA, VA, and USDA loans that reduces documentation requirements because the borrower is refinancing a government-backed loan
- A refinance that eliminates all closing costs
- A refinance processed entirely online

34. A property's 'appraised value' comes in lower than the purchase price. What typically happens?

- The loan is automatically denied
- The borrower and seller must renegotiate, the borrower can pay the difference in cash, or the loan may not fund as planned
- The lender automatically approves the higher purchase price
- The appraiser is required to revise the value

35. What is a 'transfer of servicing' disclosure?

- A document transferring property ownership
- Notification to the borrower that their mortgage servicing has been transferred to a new servicer, who will now collect payments
- A document transferring the deed
- An assignment of the promissory note

36. What are 'compensating factors' in mortgage underwriting?

- Factors that automatically disqualify an application
- Positive characteristics (reserves, low LTV, excellent credit) that may offset an elevated risk factor (like high DTI) and support loan approval
- Factors required for all FHA loan applications
- The appraisal adjustments used to compare properties

37. What is a 'portfolio loan'?

- A loan for purchasing a portfolio of properties
- A loan that a lender originates and keeps on its own books rather than selling on the secondary market, allowing flexibility from standard GSE guidelines
- A loan for investment portfolios
- A group of loans sold together

38. What is 'equitable title' versus 'legal title'?

- They are the same thing
- Equitable title is the buyer's beneficial interest in the property (right to use and eventually own it) before legal title transfers; legal title is full ownership evidenced by the deed
- Equitable title is held by the lender; legal title is held by the borrower
- Equitable title applies only to investment properties

39. What is 'due-on-sale' clause in a mortgage?

- A requirement that the property be sold within 5 years
- A provision allowing the lender to require full repayment of the mortgage if the property is sold or transferred without the lender's consent
- A clause requiring the borrower to pay additional costs at sale
- A provision for automatic price adjustment at sale

40. What is 'lender-paid mortgage insurance' (LPMI)?

- Mortgage insurance paid by the government
- A structure where the lender pays the mortgage insurance premium in exchange for a higher interest rate on the loan
- Insurance paid by the lender to protect the borrower
- A form of FHA insurance

41. What is a 'HUD REO' property?

- A property owned by a private real estate company
- A property owned by HUD as a result of foreclosure on an FHA-insured mortgage
- A property designated as historically significant
- A property approved for HUD renovation grants

42. What does 'loan assumption' mean?

- The lender assumes the property in foreclosure
- A buyer takes over the seller's existing mortgage obligations, subject to lender approval
- The seller assumes responsibility for the buyer's down payment
- The borrower assumes all closing costs

43. What is the 'note rate' versus 'APR' on a mortgage?

They are the same — just different terms

Note rate is the interest rate that determines the monthly payment; APR is the total cost of borrowing expressed as an annual rate, including the note rate plus fees — APR is always higher

Note rate is higher because it includes insurance

APR is the rate before fees are added

44. For conventional loans, Fannie Mae's standard maximum back-end DTI via DU is approximately:

36%

41%

45% (or higher with significant compensating factors)

50%

45. What is 'recourse' vs 'non-recourse' in the context of mortgage lending?

Recourse means the lender can only look to the property for repayment; non-recourse allows pursuit of the borrower

In recourse lending, the lender can pursue the borrower for any deficiency after foreclosure; in non-recourse, the lender is limited to the collateral only

Recourse loans have lower rates; non-recourse have higher rates

Recourse applies only to commercial loans

46. What is the 'loan-to-value' cap for a conventional cash-out refinance on a primary residence?

80% for most borrowers (Fannie Mae standard)

90%

95%

100%

47. What is 'HUD's minimum property standards' for FHA loans?

Minimum home size requirements

Safety, security, and structural integrity standards that a property must meet to be eligible for FHA financing

Environmental requirements for FHA-approved developments

The minimum property tax level for an eligible area

48. What is the purpose of a 'property condition report' (PCR) or home inspection in a mortgage transaction?

Required by all mortgage programs

An optional but recommended assessment of a property's physical condition, separate from and complementary to the appraisal

Required to satisfy FHA minimum property standards

A substitute for the appraisal

49. What is a 'Notice of Right to Cancel' and to whom must it be provided?

- A notice provided only to buyers in a purchase transaction
- The TILA rescission notice provided to each borrower who has the right to rescind a non-purchase loan secured by their primary residence
- A notice provided to the seller when the loan is cancelled
- A lender's internal notice when a loan falls out of escrow

50. Under TRID, what fees fall into the '10% tolerance' category?

- All lender fees
- Fees for required third-party services where the borrower is permitted to shop and uses a provider from the lender's written list
- All title-related fees
- All government-recorded fees

51. What is a 'URLA' (Uniform Residential Loan Application) and when was it updated?

- The standard appraisal form
- The standard loan application (Form 1003) redesigned in 2018 with an expanded demographic information section and improved format
- The standard closing disclosure
- The standard servicing transfer notice

52. What is a 'lock-in agreement' and what should it specify?

- A contract requiring the borrower to stay with the same lender forever
- A written agreement specifying the locked interest rate, loan program, lock period, lock fees, and conditions for expiration or extension
- A clause preventing the property from being sold
- An agreement locking in the closing date

53. What is an 'ALTA settlement statement'?

- An insurance claim form from ALTA
- A settlement statement used in some transactions, providing a detailed accounting of all funds in a real estate transaction, similar to the HUD-1 but more flexible
- The ALTA policy of title insurance
- An appraisal form approved by ALTA

54. What is a 'title commitment' or 'title binder'?

- A commitment by the buyer to purchase the property
- A preliminary report by the title company showing the current state of title and listing conditions that must be met before a title insurance policy will be issued
- A commitment by the seller to transfer clear title
- A lender's commitment to fund the loan

55. What is 'dual origination' and why is it problematic?

- Having two loan officers work on the same file — an efficiency tool
- An arrangement where an MLO originates loans through two different companies simultaneously without proper licensing — typically violates state law
- Two co-borrowers applying for a loan
- A loan originated through both online and in-person channels

56. What is the role of the 'settlement agent' or 'closing attorney' in a mortgage transaction?

- To advise the borrower on whether to accept the loan terms
- To coordinate and conduct the closing, ensuring all documents are properly executed, funds disbursed, and the deed recorded
- To underwrite the loan
- To order and review the appraisal

Section 3: Loan Origination Activities

57. What is 'DU Refi Plus' or 'Fannie Mae High LTV Refinance' program?

- A program for first-time homebuyers
- A Fannie Mae program allowing underwater or high-LTV borrowers to refinance without a new appraisal when they have a good payment history on an existing Fannie Mae loan
- A program for investment property refinances
- A program for VA borrowers refinancing to conventional

58. What is 'trigger lead' and why is it controversial?

- A marketing term for leads that convert immediately
- Credit bureaus selling consumer data to competing lenders when a credit inquiry (hard pull) is made for a mortgage — allowing competitors to solicit the borrower
- A lead generation technique using email triggers
- An automated system for flagging fraud

59. What is a 'Jumbo ARM' loan?

- An ARM loan for commercial properties
- An adjustable-rate mortgage exceeding conforming loan limits, not eligible for GSE purchase
- An ARM with jumbo-sized rate adjustments
- A fixed ARM hybrid with a 10-year fixed period

60. What is the purpose of the 'appraisal independence requirements' (AIR)?

- To ensure appraisers charge consistent fees
- To prohibit lenders, loan officers, and interested parties from influencing the appraiser's opinion of value, ensuring an independent and objective appraisal
- To require all appraisals to use the same comparable properties
- To mandate appraisal review by a second appraiser

61. What ethical obligation does an MLO have when recommending a loan product to an elderly borrower?

None different from any other borrower

A heightened duty of care to ensure the product is suitable, the borrower understands the terms, and is not being taken advantage of due to cognitive decline or undue influence

To recommend the highest-margin product available

To recommend only government-backed loans

62. What constitutes 'discriminatory advertising' in violation of the Fair Housing Act?

Advertising in newspapers

Using language or imagery that expresses a preference, limitation, or discrimination based on a protected class

Targeting advertising to specific income demographics

Advertising online

63. What is the MLO's responsibility when a borrower reveals they are receiving rental income that has not been reported on their tax returns?

Use the undisclosed income to qualify since the borrower mentioned it

Do not use unreported income to qualify the loan, as it creates fraud risk; advise the borrower of proper income documentation requirements

Report the borrower to the IRS immediately

Qualify the borrower at half the stated rental income

64. Under UDAAP, what is an 'abusive' act or practice?

Any act the borrower complains about

An act that materially interferes with the ability of a consumer to understand a term or condition, or takes unreasonable advantage of a consumer's lack of understanding, reasonable reliance, or vulnerability

A practice that is unfair but not deceptive

Any practice that results in a consumer complaint

65. What is 'selective enforcement' of credit policies and why is it a fair lending concern?

Applying credit policies only to new customers

Inconsistently applying underwriting standards or exceptions based on the applicant's protected class characteristics — approving exceptions for some groups but not others

Enforcing collection policies differently

Only reviewing loans above a certain amount

66. What is 'kickback' compensation in the context of RESPA violations?

Legitimate performance-based compensation

Any fee, thing of value, or portion of a settlement service charge given to a person in exchange for referring business, when no genuine services are performed for the fee

Compensation above market rates

Compensation paid in cash rather than check

67. An MLO who 'pads' closing costs with undisclosed fees to increase their income is committing:

- A minor accounting irregularity
- TRID violations and potentially mortgage fraud through undisclosed compensation
- A normal business practice
- A violation of HMDA only

68. What is the ethical issue with an MLO who holds a real estate agent's license and earns commission from both sides of a transaction?

- No ethical issue if disclosed
- Creates a significant conflict of interest that may compromise the borrower's ability to receive independent advice on both the property and the financing
- Only an issue in some states
- Only an issue if the commissions exceed \$10,000

69. What is 'predatory appraisal' as a form of mortgage fraud?

- An appraiser charging too much
- Pressuring or bribing an appraiser to provide a value that supports a predetermined loan amount, regardless of actual market value
- Ordering two appraisals and using the higher value
- An appraisal conducted in a predatory lending market

70. In most states, what must happen if an MLO loses their state license due to revocation?

- They automatically receive a federal license
- They must go through a reinstatement process, which may include a waiting period, remediation, and reapplication — some revocations are permanent
- They can immediately apply in a different state
- They can continue originating as a registered MLO

71. Which state office typically enforces state MLO licensing laws?

- The state Attorney General's office exclusively
- The state Department of Financial Institutions, Division of Banking, or equivalent mortgage regulatory authority
- The state insurance commissioner
- The state Department of Housing

72. What is a 'principal' in the context of a mortgage company?

- The loan principal balance
- A key owner, officer, director, or member who has significant control over the mortgage company's operations — whose background is scrutinized in licensing
- The lead underwriter
- The primary borrower on a loan

73. What does 'licensure by reciprocity' or 'reciprocal licensing' mean for MLOs?

- A state automatically accepts an MLO's license from any other state
- Some states may recognize another state's license requirements and streamline the licensing process for MLOs already licensed elsewhere, though full reciprocity is rare in mortgage lending
- All states accept NMLS credentials without separate state approval
- Federal law requires all states to accept each other's licenses

74. What is the MLO's obligation to notify NMLS if they are arrested?

- No obligation unless convicted
- Must report new criminal charges or arrests within 30 days as a material change requiring NMLS record update
- Must report only federal charges
- Must report only if the charges are mortgage-related

75. What state-specific content is typically tested on the NMLS state exam component?

- Only federal law — state exams don't cover state-specific content
- State-specific laws, regulations, and licensing requirements unique to that state's mortgage market, including state consumer protection laws
- The same content as the national exam
- Only state property tax laws

76. Under the SAFE Act, what is the purpose of requiring MLOs to have their fingerprints submitted?

- To create a biometric ID card
- To run a national criminal background check through the FBI to identify disqualifying criminal history
- To verify the MLO's identity for exam purposes
- For social security verification purposes

77. What must a mortgage company disclose to the state licensing authority on an ongoing basis?

- Nothing — the initial application is sufficient
- Material changes to the company's business (new principals, ownership changes, bankruptcy, regulatory actions) and periodic financial reports (Mortgage Call Reports)
- Only annual renewal information
- Only when there are regulatory violations

78. What is the significance of the 'written list of providers' that lenders must give borrowers under TRID?

- A list of lenders who have pre-approved the borrower
- A list of third-party settlement service providers that the borrower may choose from for services where shopping is permitted — using this list affects tolerance calculations
- A list of approved appraisers
- A list of attorneys the lender will accept

79. What is the difference between a 'mortgage banker' license and a 'mortgage broker' license?

They are identical — states just use different names

Mortgage banker licenses allow the company to fund loans with its own capital; mortgage broker licenses allow arranging loans for others without direct funding — different requirements and net worth minimums

Mortgage broker licenses are for larger companies

Mortgage banker licenses are for banks only

80. Under HOEPA (Section 32 of TILA), a lender must provide a special disclosure at least how many business days before consummation?

- A. 1 business day
- B. 3 business days
- C. 7 business days
- D. 10 business days

81. Regulation Z's rules on loan originator compensation apply to:

- A. Only mortgage brokers
- B. Loan originators (both brokers and lender-employed MLOs) for closed-end consumer credit secured by a dwelling
- C. Only lenders with assets over \$10 billion
- D. Commercial mortgage transactions only

82. Under TILA, the 'three-day right to cancel' on a refinance begins on the LATEST of:

- A. The date of application
- B. The date of consummation, delivery of the TILA disclosures, or delivery of the rescission notice
- C. The date the loan funds
- D. The date the closing disclosure is received

83. Under TILA/Regulation Z, an advertisement containing only the phrase 'No down payment required!' is:

- A. A trigger term requiring full credit disclosure
- B. Acceptable advertising with no disclosure requirements
- C. Prohibited regardless of what else is disclosed
- D. Only permitted for government loan advertising

84. The 'all-in APR' concept under the CFPB's mortgage rules is designed to:

- A. Include only lender fees in the rate calculation
- B. Provide a more comprehensive cost measure by including most fees associated with obtaining credit
- C. Calculate the rate that only includes PMI costs
- D. Replace the note rate on the promissory note

85. Under RESPA, which of the following is NOT considered a 'required use' violation?

- A. A lender requiring the borrower to use the lender's in-house title company as a condition of the loan
- B. A lender recommending a title company but disclosing the affiliated relationship
- C. A seller requiring the buyer to use a specific title company and providing a discount
- D. A builder requiring the use of their mortgage company as a condition of buying a home

86. The Gramm-Leach-Bliley Act (GLBA) Privacy Rule requires lenders to provide privacy notices:

- A. Only at the time of loan application
- B. When the customer relationship is established and annually thereafter
- C. Only when sharing information with third parties
- D. Only upon consumer request

Section 4: Ethics

87. When a conventional loan exceeds 80% LTV without mortgage insurance, it is sometimes called a:

- A. Portfolio loan with PMI waiver
- B. High-LTV loan with lender-paid MI (LPMI)
- C. Non-conforming jumbo loan
- D. Government-guaranteed loan

88. In a declining real estate market, a borrower with an LTV above 100% (owing more than the home is worth) is said to be:

- A. Over-leveraged
- B. 'Underwater' or 'upside down' on the mortgage
- C. In technical default
- D. Subject to automatic PMI requirements

89. The 'gross margin' on an ARM loan is important because it:

- A. Changes at each adjustment period
- B. Remains constant for the life of the loan and determines the fully indexed rate when added to the index
- C. Determines the initial teaser rate
- D. Sets the maximum rate increase at each adjustment

90. A 'purchase agreement' or 'sales contract' in a real estate transaction establishes:

- A. The loan terms and interest rate
- B. The purchase price, earnest money, contingencies, and closing date between buyer and seller
- C. The title insurance terms
- D. The appraisal value of the property

91. Under Fannie Mae's Desktop Underwriter (DU), an 'Approve/Eligible' finding means:

- A. The loan is approved and eligible for delivery to Fannie Mae per its guidelines
- B. The loan is only eligible for a manual underwrite
- C. The borrower is approved but the property is not eligible
- D. Final approval is not required — DU findings are binding

92. The VA Interest Rate Reduction Refinance Loan (IRRRL) is designed to:

- A. Provide cash out to VA loan borrowers
- B. Streamline refinancing of an existing VA loan to a lower rate with minimal documentation
- C. Allow veterans to purchase a second home with VA benefits
- D. Refinance a VA loan into a conventional loan

93. A 'deed in lieu of foreclosure' occurs when:

- A. The lender acquires the property through the foreclosure process
- B. The borrower voluntarily transfers title to the lender to avoid formal foreclosure proceedings
- C. A third party purchases the property at a foreclosure auction
- D. The borrower refinances to avoid foreclosure

94. Which of the following best describes the purpose of title insurance?

- A. To protect the buyer against future price declines
- B. To protect against losses from title defects, liens, or ownership claims that existed before the purchase
- C. To guarantee the property's physical condition
- D. To provide insurance coverage for homeowner liability

95. Which of the following loan types generally has the most restrictive income and LTV requirements?

- A. FHA loans
- B. VA loans
- C. Jumbo (non-conforming) loans
- D. USDA loans

96. Under the ATR rule, if a lender relies on a borrower's asset depletion to calculate income, the lender must:

- A. Use 100% of the asset divided by the loan term
- B. Follow a documented methodology consistent with secondary market guidelines, typically dividing qualifying assets by the loan term in months
- C. Require the borrower to liquidate the assets before closing
- D. Only use assets in FDIC-insured accounts

97. On the Closing Disclosure, 'Cash to Close' represents:

- A. The down payment only
- B. The total amount the borrower must bring to closing (or receive as refund), accounting for down payment, closing costs, prepaid items, and credits
- C. Only the closing costs excluding down payment
- D. The loan amount minus the purchase price

98. A 'Notice of Incomplete Application' (NOI) should be sent when:

- A. The borrower's credit score is below guidelines
- B. The lender determines it cannot approve the loan
- C. The application is missing information needed to make a credit decision
- D. The lender needs a second set of pay stubs

99. The purpose of the 4506-C (IRS Form 4506-C) in mortgage origination is to:

- A. Authorize the lender to check the borrower's bank accounts
- B. Request verification of the borrower's tax transcripts directly from the IRS
- C. Apply for the borrower's tax identification number
- D. File the borrower's mortgage interest deduction

100. Under TRID, a 'tolerance cure' allows a lender to:

- A. Automatically waive tolerance violations
- B. Refund the amount of any tolerance violation to the borrower within 3 calendar years of consummation
- C. Issue a revised LE to correct tolerance violations before closing
- D. Charge higher fees if business costs increase

101. Which of the following documents is used to verify a borrower's identity under the USA PATRIOT Act's Customer Identification Program (CIP)?

- A. Employment verification letter
- B. Government-issued photo identification and social security number verification
- C. Credit report only
- D. Bank statement

102. In underwriting, 'asset reserves' are typically expressed as:

- A. Total savings balance
- B. The number of months of PITI payments the borrower has in liquid assets after closing
- C. The total value of all the borrower's assets
- D. The down payment divided by monthly income

103. An MLO who fails to disclose their NMLS Unique Identifier on a loan application is:

- A. Only in violation if the borrower notices
- B. In violation of the SAFE Act, which requires the NMLS ID on all residential loan applications
- C. Subject only to a written warning for a first offense
- D. Only in violation if the loan closes

104. Which of the following represents an 'appraisal fraud' red flag that an MLO should report?

- A. An appraisal value that is exactly equal to the purchase price
- B. The seller instructing the MLO to ask the appraiser to 'hit the number' required for the loan to close
- C. An appraiser who completes the appraisal in 3 days
- D. An appraisal ordered through an AMC

105. The ethical obligation of 'confidentiality' in mortgage lending requires an MLO to:

- A. Never share any information about a borrower with anyone, including the lender
- B. Protect the borrower's personal and financial information from unauthorized disclosure
- C. Keep the interest rate confidential from the borrower until closing
- D. Not discuss the loan with the real estate agent

Section 5: Uniform State Content (SAFE Act & Licensing)

106. A 'straw buyer' scheme involves:

- A. A first-time homebuyer who needs a co-borrower
- B. Using a person with good credit to apply for a loan on behalf of another person who would not qualify
- C. A legitimate gift letter arrangement between family members
- D. A down payment assistance program from a nonprofit

107. Under the SAFE Act, an MLO who leaves a company must ensure their sponsorship is:

- A. Transferred to the new employer in NMLS
- B. Cancelled so the license becomes inactive
- C. Maintained by the old employer for 30 days
- D. No action required — NMLS updates automatically

108. Which of the following best describes the 'continuing competency' requirement in mortgage licensing?

- A. MLOs must pass a new test every 5 years
- B. MLOs must complete annual CE to maintain current knowledge of mortgage laws, ethics, and practices
- C. MLOs must originate a minimum of 20 loans per year
- D. MLOs must maintain a minimum credit score of 700

109. A licensed MLO who also provides financial planning advice and charges fees for investment recommendations is:

- A. Exercising a normal MLO function
- B. Likely engaging in activities outside the scope of their MLO license that may require additional licensing (e.g., investment adviser registration)
- C. Exempt from all securities regulations as a licensed MLO
- D. Automatically covered by their surety bond

110. The NMLS annual report (MU1 for companies, MU4 for individuals) must be filed by:

- A. July 31 of each year
- B. The anniversary of license approval
- C. December 31 of each year (or as required by the state's renewal calendar)
- D. Every 2 years

111. Under state licensing laws, an MLO's surety bond amount is typically based on:

- A. The MLO's personal net worth
- B. The volume of residential mortgage loans originated in the prior year (or a set minimum amount)
- C. The number of states in which the MLO is licensed
- D. The MLO's credit score

112. An MLO's NMLS record reflects which of the following types of regulatory actions?

- A. Only criminal convictions
- B. Criminal history, employment history, regulatory actions (sanctions, orders), and financial disclosures
- C. Only actions that resulted in license revocation
- D. Only federal regulatory actions, not state actions

113. Under NMLS rules, an MLO who has been inactive (not employed at a licensed entity) for more than 5 years and wants to re-enter the industry must:

- A. Simply pay the renewal fee
- B. Re-take the NMLS pre-licensure test and 20 hours of PE in most states
- C. Only complete 8 hours of CE
- D. Apply for a new NMLS ID number

114. Which of the following describes a 'land contract' or 'contract for deed'?

- A. A standard mortgage with a deed of trust
- B. A seller-financing arrangement where the buyer makes payments to the seller but title remains with the seller until the balance is paid
- C. A government land grant program
- D. A construction contract for land development

115. Under TRID, 'Zero Tolerance' fees on the Loan Estimate include all of the following EXCEPT:

- A. Points
- B. Origination fees
- C. Appraisal fee for a specific appraiser required by the lender
- D. Pest inspection fee when the borrower shops for their own provider

116. A 'blanket lien' in real estate refers to:

- A. A mortgage covering all personal property owned by the borrower
- B. A security interest that covers multiple parcels or properties
- C. An insurance policy that covers all types of title defects
- D. A judgment lien against all current and future property of a debtor

117. Which type of property valuation method considers the property's potential to generate rental income?

- A. Sales comparison approach
- B. Cost approach
- C. Income approach
- D. Assessed value approach

118. Which of the following is TRUE about a 'non-conforming' loan?

- A. It cannot be sold on the secondary market
- B. It does not meet one or more of the GSE purchase requirements (loan limits, credit standards, etc.)
- C. It must be held by the originating lender forever
- D. It is always a subprime loan

119. Under FCRA, how long can a Chapter 7 bankruptcy remain on a consumer's credit report?

- A. 5 years
- B. 7 years
- C. 10 years
- D. 15 years

120. The purpose of the 'Integrated Mortgage Disclosures' (TRID) rule was to:

- A. Increase lender fees to borrowers
- B. Combine RESPA and TILA disclosures into two simplified forms (Loan Estimate and Closing Disclosure) to improve consumer understanding
- C. Eliminate all mortgage disclosures and rely on verbal explanations
- D. Only apply to jumbo mortgage transactions

Section 1: Federal Mortgage-Related Laws

Q1: Under RESPA, which of the following settlement services is subject to Section 8 anti-kickback provisions?

- A. Property tax payments
- ✓ **B. Title insurance, appraisals, and loan origination services**
- C. Building permits
- D. Homeowners association dues

Explanation: RESPA Section 8 covers fees for 'settlement services' including: title insurance, appraisals, credit reports, loan origination, escrow, notary, and other services provided in connection with a real estate settlement. Property taxes and HOA dues are not settlement services.

Q2: A lender fails to provide the Loan Estimate within 3 business days of receiving a completed application. This is a violation of:

- A. ECOA only
- ✓ **B. TRID (TILA-RESPA Integrated Disclosure rule)**
- C. HMDA
- D. FCRA

Explanation: TRID (effective October 2015) requires the Loan Estimate be provided within 3 business days of a completed application. Failure is a violation of TRID, which implements both TILA and RESPA. Civil liability can be assessed under TILA, and regulatory action can be taken under RESPA.

Q3: What is the primary difference between TILA's 'amount financed' and the loan amount?

- A. They are always the same
- ✓ **B. Amount financed equals the loan amount minus prepaid finance charges (fees)**
- C. Amount financed is higher than the loan amount due to insurance
- D. Amount financed includes the escrow account balance

Explanation: Under TILA, 'amount financed' equals the loan amount minus prepaid finance charges (origination fees, points, etc.). If the loan is \$200,000 with \$3,000 in prepaid finance charges, the amount financed = \$197,000. This represents the actual credit extended to the borrower.

Q4: Under the Fair Housing Act, which of the following types of advertising is ILLEGAL?

- A. Advertising in a Spanish-language newspaper to reach Spanish-speaking consumers
- ✓ **B. Using the phrase 'perfect for young professionals' which may discourage families with children**
- C. Listing a property's school district in an advertisement
- D. Using fair housing logos in advertisements

Explanation: Advertising language that signals a preference for or against any protected class is illegal under the Fair Housing Act. Phrases like 'perfect for young professionals,' 'ideal for empty nesters,' or 'Christian home' indicate a preference that discriminates based on familial status, age, or religion.

Q5: Under TILA, 'trigger terms' in mortgage advertising are specific loan terms that, when stated, require additional disclosures. Which of the following is a trigger term?

- A. The lender's phone number
- ✓ B. The down payment amount (e.g., '5% down!')
- C. The property's address
- D. The loan officer's name

Explanation: TILA trigger terms include: down payment amount, monthly payment amount, number of payments, period of repayment, and the dollar amount of any finance charge. When a trigger term is used in advertising, Regulation Z requires disclosure of all material terms including APR.

Q6: RESPA Section 6 governs mortgage loan servicing transfers. When a loan is transferred to a new servicer, when must the borrower be notified?

- A. At least 30 business days before the transfer
- ✓ B. At least 15 business days before the effective date of the transfer
- C. Within 7 days after the transfer
- D. No notice is required

Explanation: RESPA Section 6 requires both the transferor servicer AND the new servicer to notify the borrower of the transfer. The transferor must notify at least 15 days before the transfer; the new servicer must notify within 15 days after. There is also a 60-day grace period where payments sent to the old servicer cannot be penalized.

Q7: What does TILA's 'right of rescission' give borrowers?

- A. The right to renegotiate the interest rate after closing
- ✓ B. The right to cancel a non-purchase, primary residence refinance within 3 business days of closing, without penalty
- C. The right to rescind a purchase contract before closing
- D. The right to refuse an appraisal

Explanation: TILA's right of rescission allows borrowers to cancel (rescind) a non-purchase mortgage secured by their primary residence within 3 business days of consummation, delivery of the required disclosure, or delivery of the rescission notice — whichever is latest. No penalties or fees may be charged.

Q8: Under ECOA, can a lender require a non-applicant spouse to sign a mortgage document?

- A. Yes, always in community property states
- B. Yes, if the spouse's income is needed to qualify
- ✓ C. Only to sign title/security instrument documents if required by state law — not to sign the note unless they are on the loan
- D. Yes, whenever the property will be the couple's primary residence

Explanation: ECOA prohibits requiring a non-applicant spouse to sign the mortgage note (making them liable for the debt) unless they are a co-borrower. A spouse may be required to sign the deed of trust/mortgage for a property interest release, but this differs from making them responsible for the debt.

Q9: Under HMDA, data collection on race and ethnicity of applicants is:

- A. Required only for minority applicants
- ✓ **B. Required for all applicants for covered loans; the MLO observes and records race/ethnicity if not provided by the applicant**
- C. Optional for non-government loans
- D. Prohibited under ECOA privacy rules

Explanation: HMDA requires collection of demographic data (race, ethnicity, sex) for all covered applications. If the applicant doesn't provide the information, the MLO must record it based on visual observation or surname. This data helps identify potential discrimination patterns.

Q10: What is the 'Regulation B' (ECOA) requirement for providing credit score information with an adverse action notice?

- A. Credit scores are never required in adverse action notices
- ✓ **B. When a credit score was a factor in adverse action, the consumer must receive a credit score disclosure notice with the score, scoring range, key factors, and date obtained**
- C. Only the name of the credit bureau is required
- D. Credit score disclosure is optional

Explanation: Under ECOA's Regulation B, when an adverse action is based in whole or in part on a credit score, the adverse action notice must include: the numerical credit score, the range of scores, the key factors that adversely affected the score, the date the score was obtained, and the name of the company that provided the score.

Q11: Under the Bank Secrecy Act, what is a 'beneficial owner'?

- A. The lender who benefits from mortgage payments
- ✓ **B. For BSA/AML compliance, an individual who owns 25%+ of a legal entity or who exercises significant control over the entity — must be identified and verified**
- C. The property owner before foreclosure
- D. The investor who purchases mortgage-backed securities

Explanation: For BSA Customer Due Diligence (CDD) requirements, financial institutions must identify 'beneficial owners' of legal entity customers — individuals who own 25% or more of the entity AND/OR one individual who has significant control. This helps prevent legal entities from being used for money laundering.

Q12: What does the 'Servicemembers Civil Relief Act (SCRA)' provide for military members with mortgages?

- A. Free mortgages for active duty military
- ✓ **B. Interest rate caps at 6% on mortgages taken before active duty and foreclosure protections during active service**
- C. No mortgage payments while deployed
- D. Automatic forgiveness of mortgage debt after service

Explanation: The SCRA limits interest rates on pre-service obligations to 6% during active military service, provides foreclosure protections (lenders cannot foreclose on SCRA-protected servicemembers without a court order), and offers other financial protections for those serving on active duty.

Q13: Under TILA, what is the 'total of payments' on a mortgage disclosure?

- A. The loan amount only
- ✓ **B. The total amount the borrower will have paid after making all scheduled payments, including interest and other finance charges**
- C. The total interest paid over the loan's life
- D. The total closing costs paid at settlement

Explanation: 'Total of payments' under TILA is the sum of all scheduled payments over the loan's life. For a \$200,000 30-year loan at 6%, the monthly P&I payment is approximately \$1,199.10. Total of payments = $\$1,199.10 \times 360 =$ approximately \$431,676 (includes both principal repayment and interest).

Q14: What is the significance of the 'three-day delivery rule' under TRID?

- A. Closings must occur within 3 days of the Loan Estimate
- ✓ **B. When the Closing Disclosure is mailed, 3 additional calendar days are added to determine when it is 'received' for the waiting period calculation**
- C. Loan Estimates must be accepted within 3 days
- D. Application fees must be paid within 3 days of application

Explanation: When the Closing Disclosure is mailed (not delivered in person or electronically), 3 additional calendar days are added to determine the assumed receipt date. The 3-business-day waiting period then begins from the assumed receipt date. So mailing requires 6+ business days before closing.

Q15: What is an MLO required to disclose under TILA Regulation Z regarding loan originator compensation?

- A. Nothing — compensation is confidential
- ✓ **B. MLO compensation arrangements must be disclosed on the Closing Disclosure as part of total origination charges**
- C. Only the MLO's employer compensation
- D. Compensation is disclosed via a separate HUD form

Explanation: Under Regulation Z, all origination charges (including MLO compensation paid through the loan) must be disclosed on the Loan Estimate and Closing Disclosure. Additionally, federal rules prohibit MLOs from being compensated based on loan terms (other than amount), preventing steering incentives.

Q16: What is 'negative equity' (being 'underwater' on a mortgage)?

- A. Having a negative interest rate on the mortgage
- ✓ **B. When the outstanding mortgage balance exceeds the current market value of the property**
- C. When the monthly payment exceeds the borrower's income
- D. Having negative credit items on a credit report

Explanation: Negative equity (being underwater or upside-down) occurs when the mortgage balance owed exceeds the property's current market value. This prevents the borrower from selling or refinancing without bringing cash to the table, and increases the risk of strategic default.

Q17: Under the SAFE Act, what constitutes 'taking a residential mortgage loan application'?

A. Only printing the application form

✓ **B. Receiving information in connection with a request for a residential mortgage loan, to assist the applicant in obtaining the loan**

C. Only accepting applications online

D. Reviewing the appraisal only

Explanation: Under the SAFE Act, 'taking a residential mortgage loan application' means receiving information from the applicant in connection with a request for a residential mortgage loan to be used to determine whether to extend credit. This is one of the activities requiring an MLO license.

Q18: What does RESPA prohibit regarding title insurance?

A. Selling owner's title insurance

✓ **B. A seller requiring a buyer to purchase title insurance from a specified company as a condition of the sale**

C. Lenders requiring lender's title insurance

D. Title companies offering discounts

Explanation: RESPA Section 9 explicitly prohibits sellers from conditioning the sale on the buyer's purchase of title insurance from a particular company chosen by the seller. Buyers must be free to choose their title insurer. This prevents kickback arrangements between sellers and favored title companies.

Q19: Under TILA, when is a mortgage advertisement required to include the APR?

A. Always, in every advertisement

✓ **B. Only when a triggering term is used (e.g., specific payment amount, specific rate in a non-simple advertisement, or specific down payment)**

C. Only in print advertising

D. Only on the lender's website

Explanation: Regulation Z requires APR disclosure in advertisements when a 'triggering term' is used. If an ad mentions a specific payment amount, interest rate (in certain contexts), number of payments, or down payment, it must also disclose the APR. Ads that only mention the institution's name and contact information do not require APR disclosure.

Q20: Under ECOA, what is a 'incomplete application'?

A. An application with any missing information

✓ **B. An application that is missing information required by the creditor to make a credit decision, after the creditor has notified the applicant of the missing information**

C. An application rejected by the AUS

D. An application submitted through a third party

Explanation: Under ECOA, an 'incomplete application' is one where the creditor lacks sufficient data to make a credit decision. The creditor must notify the applicant within 30 days of receiving an incomplete application of the additional information needed and give them a reasonable time to provide it.

Q21: What does FCRA's 'fraud alert' provision allow consumers to do?

- A. Alert the credit bureaus to delete all negative items
- ✓ **B. Place a flag on their credit file that requires creditors to take extra steps to verify the consumer's identity before extending credit**
- C. Prevent their credit report from being accessed by anyone
- D. Force creditors to cancel existing accounts

Explanation: FCRA allows consumers to place a fraud alert on their credit file, which signals to potential creditors to take extra identity verification steps before opening accounts. An initial fraud alert lasts 1 year; extended alerts (for confirmed victims) last 7 years; active duty alerts protect servicemembers.

Q22: Under HMDA, what is the purpose of the 'action taken' field in the Loan Application Register?

- A. To record the interest rate offered
- ✓ **B. To record what happened with each application: originated, approved but not accepted, denied, withdrawn, or file closed for incompleteness**
- C. To record the appraisal results
- D. To record the underwriter's decision reason

Explanation: The 'action taken' field in HMDA's Loan Application Register (LAR) records the disposition of each application: (1) originated, (2) approved but not accepted by applicant, (3) application denied, (4) application withdrawn, (5) file closed for incompleteness, (6) purchased. This is critical data for analyzing lending patterns.

Q23: What is the CFPB's 'Supervisory Examination' process?

- A. An annual exam all MLOs must pass
- ✓ **B. An examination conducted by CFPB examiners of financial institutions to assess compliance with federal consumer financial laws**
- C. A public hearing on mortgage regulations
- D. A test required for NMLS licensure

Explanation: The CFPB conducts supervisory examinations of financial institutions (large banks and non-bank financial companies) to assess compliance with federal consumer financial laws. Examiners review policies, procedures, systems, and transaction testing. Findings may result in supervisory actions or enforcement.

Q24: Under TILA, the 'finance charge' disclosure on the Closing Disclosure represents:

- A. The interest rate on the loan
- ✓ **B. The total dollar cost of credit including interest and most fees over the life of the loan**
- C. The origination fee only
- D. The total monthly payment multiplied by 12

Explanation: The TILA finance charge disclosure represents the total dollar cost of credit — the total amount of interest plus prepaid finance charges (fees paid to the lender) over the entire loan term. For a 30-year mortgage, this is a very large number. It is disclosed separately from the total of payments.

Q25: Under RESPA, what is the 'Servicing Disclosure Statement'?

- A. A disclosure about the loan officer's compensation
- ✓ **B. A disclosure informing borrowers of whether the lender intends to service the loan or may transfer servicing to another servicer**
- C. A disclosure about hazard insurance requirements
- D. A disclosure about escrow account policies

Explanation: Under RESPA Section 6, lenders must provide a Servicing Disclosure Statement at application (or within 3 business days) informing the borrower whether the lender intends to service the loan themselves or may transfer servicing to another company. This must be provided before the Good Faith Estimate (Loan Estimate under TRID).

Q26: Under the Gramm-Leach-Bliley Act (GLBA), when must financial institutions provide a privacy notice to customers?

- A. Only when sharing information with third parties
- ✓ **B. At the start of a customer relationship and annually thereafter, informing them of information-sharing practices and opt-out rights**
- C. Only when a customer requests it
- D. Only when the institution changes its privacy practices

Explanation: GLBA requires financial institutions to provide an initial privacy notice when a customer relationship is established and an annual privacy notice each year the relationship continues. The notice must describe what information is collected, how it's used, and what opt-out rights the consumer has.

Q27: Under TILA, 'open-end credit' (like a HELOC) has a different disclosure regime from closed-end credit. Which of the following applies to open-end mortgages?

- A. Open-end mortgages require the same Loan Estimate and Closing Disclosure as closed-end loans
- ✓ **B. Open-end mortgages require account-opening disclosures, periodic statements, and specific HELOC-related disclosures rather than the TRID disclosure forms**
- C. Open-end mortgages are exempt from TILA disclosure requirements
- D. Open-end mortgages require only a credit agreement

Explanation: HELOCs and other open-end mortgage products are governed by different TILA (Regulation Z) disclosure rules than closed-end mortgages. They require account-opening disclosures explaining the account's terms, periodic statement requirements, and specific HELOC disclosures about variable rates and payment options — NOT the TRID Loan Estimate and Closing Disclosure.

Q28: What is the 'conforming loan limit' for 2024 in most areas of the United States?

- A. \$417,000
- B. \$548,250
- ✓ **C. \$766,550**
- D. \$1,000,000

Explanation: The conforming loan limit set by FHFA for 2024 is \$766,550 for most areas (increased from prior years due to rising home prices). Higher limits apply in high-cost areas. Loans exceeding the conforming limit are jumbo loans and cannot be purchased by Fannie Mae or Freddie Mac.

Section 2: General Mortgage Knowledge

Q29: What does 'mortgage insurance premium' (MIP) apply to?

- A. All conventional loans
- ✓ B. FHA loans specifically — both UFMIP and annual MIP
- C. All government-backed loans including VA and USDA
- D. Only loans with LTV above 95%

Explanation: MIP (Mortgage Insurance Premium) is specific to FHA loans. It has two components: Upfront MIP (UFMIP, 1.75% of base loan amount) and Annual MIP (paid monthly as part of the mortgage payment). VA loans have a Funding Fee, USDA has a Guarantee Fee — but only FHA uses the term MIP.

Q30: What is an 'asset depletion' or 'asset dissipation' income calculation?

- A. A way to calculate rental income from investment properties
- ✓ B. A method of qualifying based on liquid assets rather than regular income — assets are divided over a period to calculate monthly income
- C. A penalty for depleting retirement assets
- D. A method to calculate DTI for self-employed borrowers

Explanation: Asset depletion (or asset dissipation) allows lenders to qualify borrowers who have significant liquid assets but limited monthly income (like retirees). Assets are divided by the remaining loan term (or a set number of months) to generate a hypothetical monthly income for qualifying purposes.

Q31: What is a 'Ginnie Mae' (GNMA) mortgage-backed security?

- A. An MBS issued by a private bank
- ✓ B. An MBS backed by government-insured loans (FHA, VA, USDA), carrying the full faith and credit of the U.S. government
- C. An MBS issued by Fannie Mae
- D. An MBS for jumbo loans only

Explanation: Ginnie Mae (Government National Mortgage Association) guarantees MBS backed by government-insured/guaranteed loans (FHA, VA, USDA, HUD 184). Unlike Fannie Mae and Freddie Mac MBS, Ginnie Mae MBS carry the explicit full faith and credit guarantee of the U.S. government.

Q32: What is 'prepaid interest' on a Closing Disclosure?

- A. Interest paid in advance to reduce the rate
- ✓ B. Daily interest that accrues from the closing date to the end of the month, paid at closing
- C. The first month's mortgage payment paid at closing
- D. Interest charged as a penalty for early payoff

Explanation: Prepaid interest (also called per diem interest) is the interest that accrues from the closing date to the end of the calendar month. Since the first mortgage payment typically covers the previous month's interest (paid in arrears), borrowers pay this 'stub period' interest at closing.

Q33: What is a 'streamline refinance'?

A. A fast-closing refinance for any loan type

✓ **B. A simplified refinance process available for FHA, VA, and USDA loans that reduces documentation requirements because the borrower is refinancing a government-backed loan**

C. A refinance that eliminates all closing costs

D. A refinance processed entirely online

Explanation: Streamline refinances are available for FHA, VA (IRRRL), and USDA loans. They allow borrowers with existing government-backed loans to refinance with reduced documentation (often no appraisal or income verification required) as long as the refinance provides a net benefit to the borrower.

Q34: A property's 'appraised value' comes in lower than the purchase price. What typically happens?

A. The loan is automatically denied

✓ **B. The borrower and seller must renegotiate, the borrower can pay the difference in cash, or the loan may not fund as planned**

C. The lender automatically approves the higher purchase price

D. The appraiser is required to revise the value

Explanation: When an appraisal comes in low (below purchase price), the lender will base the loan on the lower appraised value. Options include: renegotiating the purchase price with the seller, the buyer paying the difference in cash, the buyer disputing the appraisal, or walking away from the deal (if an appraisal contingency exists).

Q35: What is a 'transfer of servicing' disclosure?

A. A document transferring property ownership

✓ **B. Notification to the borrower that their mortgage servicing has been transferred to a new servicer, who will now collect payments**

C. A document transferring the deed

D. An assignment of the promissory note

Explanation: RESPA Section 6 requires the current servicer to notify the borrower at least 15 days before a servicing transfer, and the new servicer must notify within 15 days after the transfer. During the 60-day grace period after transfer, late fees cannot be imposed if payments are sent to the old servicer.

Q36: What are 'compensating factors' in mortgage underwriting?

A. Factors that automatically disqualify an application

✓ **B. Positive characteristics (reserves, low LTV, excellent credit) that may offset an elevated risk factor (like high DTI) and support loan approval**

C. Factors required for all FHA loan applications

D. The appraisal adjustments used to compare properties

Explanation: Compensating factors are positive elements of a borrower's profile that may allow an underwriter to approve a loan despite exceeding a guideline threshold. Examples: significant liquid reserves, larger down payment/low LTV, excellent long-term credit history, residual income, or stable long-term employment.

Q37: What is a 'portfolio loan'?

- A. A loan for purchasing a portfolio of properties
- ✓ **B. A loan that a lender originates and keeps on its own books rather than selling on the secondary market, allowing flexibility from standard GSE guidelines**
- C. A loan for investment portfolios
- D. A group of loans sold together

Explanation: A portfolio loan is kept in the lender's own loan portfolio rather than sold to the secondary market. Because it doesn't have to meet Fannie Mae/Freddie Mac standards, the lender can set its own underwriting criteria — offering more flexible terms but often at higher rates.

Q38: What is 'equitable title' versus 'legal title'?

- A. They are the same thing
- ✓ **B. Equitable title is the buyer's beneficial interest in the property (right to use and eventually own it) before legal title transfers; legal title is full ownership evidenced by the deed**
- C. Equitable title is held by the lender; legal title is held by the borrower
- D. Equitable title applies only to investment properties

Explanation: Equitable title gives the holder the right to obtain full legal title (the beneficial interest) — typically the buyer in a purchase transaction under contract. Legal title is the formal, recorded ownership evidenced by the deed. At closing, equitable title merges with legal title as the deed is delivered.

Q39: What is 'due-on-sale' clause in a mortgage?

- A. A requirement that the property be sold within 5 years
- ✓ **B. A provision allowing the lender to require full repayment of the mortgage if the property is sold or transferred without the lender's consent**
- C. A clause requiring the borrower to pay additional costs at sale
- D. A provision for automatic price adjustment at sale

Explanation: The due-on-sale clause (acceleration clause) allows the lender to demand full repayment of the loan if the property is sold or transferred without consent. This prevents buyers from assuming below-market-rate mortgages without lender approval. Most conventional mortgages include due-on-sale clauses.

Q40: What is 'lender-paid mortgage insurance' (LPMI)?

- A. Mortgage insurance paid by the government
- ✓ **B. A structure where the lender pays the mortgage insurance premium in exchange for a higher interest rate on the loan**
- C. Insurance paid by the lender to protect the borrower
- D. A form of FHA insurance

Explanation: With LPMI, the lender pays the mortgage insurance premium but charges the borrower a higher interest rate in compensation. Unlike borrower-paid PMI, LPMI cannot be cancelled — the rate remains elevated for the life of the loan (or until refinancing). It may be beneficial if the borrower is in a high tax bracket and can deduct mortgage interest.

Q41: What is a 'HUD REO' property?

- A. A property owned by a private real estate company
- ✓ B. A property owned by HUD as a result of foreclosure on an FHA-insured mortgage
- C. A property designated as historically significant
- D. A property approved for HUD renovation grants

Explanation: HUD REO (Real Estate Owned) properties are homes that HUD has acquired after the underlying FHA-insured mortgage went into foreclosure and HUD paid the insurance claim. HUD then sells these properties at market rates through approved real estate brokers, often with special programs for owner-occupants and nonprofits.

Q42: What does 'loan assumption' mean?

- A. The lender assumes the property in foreclosure
- ✓ B. A buyer takes over the seller's existing mortgage obligations, subject to lender approval
- C. The seller assumes responsibility for the buyer's down payment
- D. The borrower assumes all closing costs

Explanation: A loan assumption occurs when a buyer takes over the seller's existing mortgage, including the interest rate, remaining term, and balance. Lenders must approve assumptions (unless the loan is 'freely assumable'). VA and FHA loans can be assumed under certain conditions. Assumptions can be attractive when the existing rate is below current market rates.

Q43: What is the 'note rate' versus 'APR' on a mortgage?

- A. They are the same — just different terms
- ✓ B. Note rate is the interest rate that determines the monthly payment; APR is the total cost of borrowing expressed as an annual rate, including the note rate plus fees — APR is always higher
- C. Note rate is higher because it includes insurance
- D. APR is the rate before fees are added

Explanation: The note rate (or nominal rate/coupon rate) is the stated interest rate used to calculate monthly P&I payments. The APR is higher because it includes the note rate PLUS the cost of certain fees (origination charges, mortgage insurance) spread over the loan term. APR allows apples-to-apples comparison of loan costs.

Q44: For conventional loans, Fannie Mae's standard maximum back-end DTI via DU is approximately:

- A. 36%
- B. 41%
- ✓ C. 45% (or higher with significant compensating factors)
- D. 50%

Explanation: Fannie Mae's Desktop Underwriter (DU) AUS can approve back-end DTIs up to approximately 45% for standard loans, and occasionally higher (up to 50%) for borrowers with strong compensating factors like significant reserves, high credit scores, or low LTV. Manual underwriting is generally more restrictive.

Q45: What is 'recourse' vs 'non-recourse' in the context of mortgage lending?

- A. Recourse means the lender can only look to the property for repayment; non-recourse allows pursuit of the borrower
- ✓ B. In recourse lending, the lender can pursue the borrower for any deficiency after foreclosure; in non-recourse, the lender is limited to the collateral only
- C. Recourse loans have lower rates; non-recourse have higher rates
- D. Recourse applies only to commercial loans

Explanation: In recourse states, if foreclosure proceeds are insufficient to pay the debt, the lender can obtain a deficiency judgment against the borrower personally. In non-recourse states (or for non-recourse loans), the lender's recovery is limited to the property — they cannot pursue the borrower for any shortfall.

Q46: What is the 'loan-to-value' cap for a conventional cash-out refinance on a primary residence?

- ✓ A. 80% for most borrowers (Fannie Mae standard)
- B. 90%
- C. 95%
- D. 100%

Explanation: For conventional cash-out refinances on primary residences, Fannie Mae and Freddie Mac generally cap the LTV at 80% (meaning the borrower must retain at least 20% equity after the cash-out). Some non-agency products may allow higher LTVs with additional conditions.

Q47: What is 'HUD's minimum property standards' for FHA loans?

- A. Minimum home size requirements
- ✓ B. Safety, security, and structural integrity standards that a property must meet to be eligible for FHA financing
- C. Environmental requirements for FHA-approved developments
- D. The minimum property tax level for an eligible area

Explanation: FHA's Minimum Property Standards (MPS) ensure that properties securing FHA-insured loans are safe, sound, and sanitary. Common issues that can disqualify a property include: exposed wiring, roof issues, structural problems, peeling lead paint (pre-1978 homes), and inadequate utilities.

Q48: What is the purpose of a 'property condition report' (PCR) or home inspection in a mortgage transaction?

- A. Required by all mortgage programs
- ✓ B. An optional but recommended assessment of a property's physical condition, separate from and complementary to the appraisal
- C. Required to satisfy FHA minimum property standards
- D. A substitute for the appraisal

Explanation: A home inspection (PCR) is an independent evaluation of the property's physical condition (plumbing, electrical, structural, etc.) performed by a licensed inspector. It is NOT the same as an appraisal (which focuses on value). While not required by all lenders, it is recommended for all buyers.

Q49: What is a 'Notice of Right to Cancel' and to whom must it be provided?

A. A notice provided only to buyers in a purchase transaction

✓ **B. The TILA rescission notice provided to each borrower who has the right to rescind a non-purchase loan secured by their primary residence**

C. A notice provided to the seller when the loan is cancelled

D. A lender's internal notice when a loan falls out of escrow

Explanation: The Notice of Right to Cancel is the TILA form provided to each borrower with rescission rights. For a refinance of a primary residence, TWO copies must be given to EACH borrower. The notice specifies the deadline for exercising the right. If the notice is not properly provided, the rescission period may be extended up to 3 years.

Q50: Under TRID, what fees fall into the '10% tolerance' category?

A. All lender fees

✓ **B. Fees for required third-party services where the borrower is permitted to shop and uses a provider from the lender's written list**

C. All title-related fees

D. All government-recorded fees

Explanation: 10% aggregate tolerance applies to: recording fees, and fees for required third-party services where (1) the borrower can shop and (2) the borrower selects a provider from the lender's written list. These fees can increase from LE to CD but cannot increase in aggregate by more than 10%.

Q51: What is a 'URLA' (Uniform Residential Loan Application) and when was it updated?

A. The standard appraisal form

✓ **B. The standard loan application (Form 1003) redesigned in 2018 with an expanded demographic information section and improved format**

C. The standard closing disclosure

D. The standard servicing transfer notice

Explanation: The URLA (Uniform Residential Loan Application, Form 1003) is the standard residential mortgage application form. It was redesigned by Fannie Mae and Freddie Mac in 2018 (with a phased implementation through 2020) to include expanded demographic information collection and improved format aligned with current lending practices.

Q52: What is a 'lock-in agreement' and what should it specify?

A. A contract requiring the borrower to stay with the same lender forever

✓ **B. A written agreement specifying the locked interest rate, loan program, lock period, lock fees, and conditions for expiration or extension**

C. A clause preventing the property from being sold

D. An agreement locking in the closing date

Explanation: A rate lock agreement should clearly specify: the locked interest rate and/or points, the loan program (30-year fixed, ARM, etc.), the lock period (30, 45, 60 days), any lock fee, what happens if the lock expires before closing, and conditions for extending the lock. Borrowers should always get the lock in writing.

Q53: What is an 'ALTA settlement statement'?

- A. An insurance claim form from ALTA
- ✓ B. A settlement statement used in some transactions, providing a detailed accounting of all funds in a real estate transaction, similar to the HUD-1 but more flexible
- C. The ALTA policy of title insurance
- D. An appraisal form approved by ALTA

Explanation: The ALTA (American Land Title Association) settlement statement is an alternative closing document used by many title companies. It provides a detailed accounting of all financial aspects of a real estate closing and can be used alongside the TRID Closing Disclosure to provide more transaction detail.

Q54: What is a 'title commitment' or 'title binder'?

- A. A commitment by the buyer to purchase the property
- ✓ B. A preliminary report by the title company showing the current state of title and listing conditions that must be met before a title insurance policy will be issued
- C. A commitment by the seller to transfer clear title
- D. A lender's commitment to fund the loan

Explanation: A title commitment (binder) is a preliminary title insurance report that: shows who holds title, lists existing liens and encumbrances, identifies exceptions to coverage, and states conditions that must be met before a full title insurance policy will be issued. Lenders review the title commitment before funding.

Q55: What is 'dual origination' and why is it problematic?

- A. Having two loan officers work on the same file — an efficiency tool
- ✓ B. An arrangement where an MLO originates loans through two different companies simultaneously without proper licensing — typically violates state law
- C. Two co-borrowers applying for a loan
- D. A loan originated through both online and in-person channels

Explanation: Dual origination (working for multiple companies simultaneously) is problematic because it creates conflicts of interest, may violate state licensing requirements (which tie licenses to specific employers), and could create issues with proper supervision and compliance.

Q56: What is the role of the 'settlement agent' or 'closing attorney' in a mortgage transaction?

- A. To advise the borrower on whether to accept the loan terms
- ✓ B. To coordinate and conduct the closing, ensuring all documents are properly executed, funds disbursed, and the deed recorded
- C. To underwrite the loan
- D. To order and review the appraisal

Explanation: The settlement agent (title company representative, escrow officer, or closing attorney depending on state) coordinates the closing: prepares the closing disclosure, ensures all conditions for closing are met, conducts the signing of documents, disburses funds to appropriate parties, and arranges for recording of the deed and mortgage.

Section 3: Loan Origination Activities

Q57: What is 'DU Refi Plus' or 'Fannie Mae High LTV Refinance' program?

- A. A program for first-time homebuyers
- ✓ **B. A Fannie Mae program allowing underwater or high-LTV borrowers to refinance without a new appraisal when they have a good payment history on an existing Fannie Mae loan**
- C. A program for investment property refinances
- D. A program for VA borrowers refinancing to conventional

Explanation: Fannie Mae's High LTV Refinance program (successor to HARP and DU Refi Plus) allows borrowers with existing Fannie Mae loans to refinance even if they have little or no equity, provided they have a good payment history. The goal is to help borrowers obtain lower rates or more stable products without being blocked by equity requirements.

Q58: What is 'trigger lead' and why is it controversial?

- A. A marketing term for leads that convert immediately
- ✓ **B. Credit bureaus selling consumer data to competing lenders when a credit inquiry (hard pull) is made for a mortgage — allowing competitors to solicit the borrower**
- C. A lead generation technique using email triggers
- D. An automated system for flagging fraud

Explanation: Trigger leads are generated when a lender pulls a credit report; credit bureaus can immediately sell this information to other lenders who then solicit the borrower. Many in the mortgage industry consider this controversial because it may confuse consumers and lead to unwanted solicitations. Legislative efforts have sought to restrict the practice.

Q59: What is a 'Jumbo ARM' loan?

- A. An ARM loan for commercial properties
- ✓ **B. An adjustable-rate mortgage exceeding conforming loan limits, not eligible for GSE purchase**
- C. An ARM with jumbo-sized rate adjustments
- D. A fixed ARM hybrid with a 10-year fixed period

Explanation: A Jumbo ARM is an adjustable-rate mortgage that exceeds the conforming loan limits set by FHFA. Because these loans cannot be sold to Fannie Mae or Freddie Mac, they are portfolio loans held by lenders or sold in private label MBS markets. They carry different (often stricter) qualification requirements.

Q60: What is the purpose of the 'appraisal independence requirements' (AIR)?

- A. To ensure appraisers charge consistent fees
- ✓ **B. To prohibit lenders, loan officers, and interested parties from influencing the appraiser's opinion of value, ensuring an independent and objective appraisal**
- C. To require all appraisals to use the same comparable properties
- D. To mandate appraisal review by a second appraiser

Explanation: Appraisal Independence Requirements (AIR) under Dodd-Frank prohibit lenders, MLOs, real estate agents, and other interested parties from influencing appraisers' opinions. Lenders must use AMCs (Appraisal Management Companies) or maintain internal firewalls to ensure appraiser independence.

Q61: What ethical obligation does an MLO have when recommending a loan product to an elderly borrower?

A. None different from any other borrower

✓ **B. A heightened duty of care to ensure the product is suitable, the borrower understands the terms, and is not being taken advantage of due to cognitive decline or undue influence**

C. To recommend the highest-margin product available

D. To recommend only government-backed loans

Explanation: MLOs owe a heightened duty of care to elderly or vulnerable borrowers. They must ensure: the product is genuinely suitable for the borrower's situation, the borrower clearly understands all terms, no undue influence or pressure is being applied, and the transaction is in the borrower's best interest.

Q62: What constitutes 'discriminatory advertising' in violation of the Fair Housing Act?

A. Advertising in newspapers

✓ **B. Using language or imagery that expresses a preference, limitation, or discrimination based on a protected class**

C. Targeting advertising to specific income demographics

D. Advertising online

Explanation: Fair Housing Act advertising rules prohibit: using words or phrases expressing preferences or limitations based on protected class (race, color, religion, national origin, sex, familial status, disability), using models in advertising that exclusively represent one racial group, and using selective placement of advertising to steer housing consumers.

Q63: What is the MLO's responsibility when a borrower reveals they are receiving rental income that has not been reported on their tax returns?

A. Use the undisclosed income to qualify since the borrower mentioned it

✓ **B. Do not use unreported income to qualify the loan, as it creates fraud risk; advise the borrower of proper income documentation requirements**

C. Report the borrower to the IRS immediately

D. Qualify the borrower at half the stated rental income

Explanation: Using income that was not reported on tax returns creates a serious problem — the borrower would be misrepresenting their financial situation. The MLO should not use undisclosed/unreported income for qualification. The borrower should amend their tax returns if the income was legitimately earned, or the MLO should document only verifiable income.

Q64: Under UDAAP, what is an 'abusive' act or practice?

A. Any act the borrower complains about

✓ **B. An act that materially interferes with the ability of a consumer to understand a term or condition, or takes unreasonable advantage of a consumer's lack of understanding, reasonable reliance, or vulnerability**

C. A practice that is unfair but not deceptive

D. Any practice that results in a consumer complaint

Explanation: Under Dodd-Frank, an 'abusive' act materially interferes with a consumer's ability to understand a product/service OR takes unreasonable advantage of: (1) a consumer's lack of understanding of the material risks, costs, or conditions; (2) a consumer's inability to protect their own interests; or (3) reasonable consumer reliance on a covered person.

Q65: What is 'selective enforcement' of credit policies and why is it a fair lending concern?

A. Applying credit policies only to new customers

✓ **B. Inconsistently applying underwriting standards or exceptions based on the applicant's protected class characteristics — approving exceptions for some groups but not others**

C. Enforcing collection policies differently

D. Only reviewing loans above a certain amount

Explanation: Selective enforcement occurs when credit policies are applied inconsistently based on protected class. If an underwriter grants exceptions to DTI or LTV limits for white borrowers but not similarly situated minority borrowers, this is disparate treatment in violation of fair lending laws, even if each individual decision seems reasonable.

Q66: What is 'kickback' compensation in the context of RESPA violations?

A. Legitimate performance-based compensation

✓ **B. Any fee, thing of value, or portion of a settlement service charge given to a person in exchange for referring business, when no genuine services are performed for the fee**

C. Compensation above market rates

D. Compensation paid in cash rather than check

Explanation: Under RESPA Section 8, a kickback is anything of value given or received for the referral of settlement service business, or any portion of a fee where no actual services were rendered. This includes cash, gifts, trips, or any in-kind benefit. RESPA does not prohibit legitimate compensation for actual services performed.

Q67: An MLO who 'pads' closing costs with undisclosed fees to increase their income is committing:

A. A minor accounting irregularity

✓ **B. TRID violations and potentially mortgage fraud through undisclosed compensation**

C. A normal business practice

D. A violation of HMDA only

Explanation: Adding undisclosed fees to closing costs violates TRID's disclosure requirements (fees must be disclosed on the LE and cannot exceed applicable tolerances on the CD) and constitutes a form of fraud. The borrower is being deceived about the true cost of the loan.

Q68: What is the ethical issue with an MLO who holds a real estate agent's license and earns commission from both sides of a transaction?

A. No ethical issue if disclosed

✓ **B. Creates a significant conflict of interest that may compromise the borrower's ability to receive independent advice on both the property and the financing**

C. Only an issue in some states

D. Only an issue if the commissions exceed \$10,000

Explanation: An MLO who earns both a real estate commission and loan origination fees from the same transaction has dual conflicts of interest. They may be inclined to maximize the purchase price (higher real estate commission) and originate the highest-fee loan, at the potential expense of the buyer/borrower's best interests.

Q69: What is 'predatory appraisal' as a form of mortgage fraud?

- A. An appraiser charging too much
- ✓ **B. Pressuring or bribing an appraiser to provide a value that supports a predetermined loan amount, regardless of actual market value**
- C. Ordering two appraisals and using the higher value
- D. An appraisal conducted in a predatory lending market

Explanation: Predatory appraisal involves coercing an appraiser to 'hit the number' — provide a value that supports a loan amount, regardless of the property's actual market value. This can include explicit pressure ('the deal won't close if it doesn't appraise at \$X') or implicit threats about future business. It violates AIR and constitutes fraud.

Q70: In most states, what must happen if an MLO loses their state license due to revocation?

- A. They automatically receive a federal license
- ✓ **B. They must go through a reinstatement process, which may include a waiting period, remediation, and reapplication — some revocations are permanent**
- C. They can immediately apply in a different state
- D. They can continue originating as a registered MLO

Explanation: A revoked license is the most serious disciplinary action. Depending on the violation, revoked MLOs may face: a mandatory waiting period before reapplication, additional requirements before reinstatement, difficulty getting licensed in other states (due to disclosure requirements), and in serious fraud cases, lifetime bans.

Q71: Which state office typically enforces state MLO licensing laws?

- A. The state Attorney General's office exclusively
- ✓ **B. The state Department of Financial Institutions, Division of Banking, or equivalent mortgage regulatory authority**
- C. The state insurance commissioner
- D. The state Department of Housing

Explanation: State MLO licensing is typically enforced by the state's primary financial regulatory agency — often called the Department of Financial Institutions (DFI), Division of Banking, Department of Business Oversight, or Department of Savings and Mortgage Lending. The specific agency name varies by state.

Q72: What is a 'principal' in the context of a mortgage company?

- A. The loan principal balance
- ✓ **B. A key owner, officer, director, or member who has significant control over the mortgage company's operations — whose background is scrutinized in licensing**
- C. The lead underwriter
- D. The primary borrower on a loan

Explanation: In mortgage company licensing, 'principals' are the key individuals (owners, officers, directors, managers) who exercise control over the company. State regulators review principals' backgrounds, criminal history, and financial responsibility as part of the company licensing process.

Q73: What does 'licensure by reciprocity' or 'reciprocal licensing' mean for MLOs?

- A. A state automatically accepts an MLO's license from any other state
- ✓ **B. Some states may recognize another state's license requirements and streamline the licensing process for MLOs already licensed elsewhere, though full reciprocity is rare in mortgage lending**
- C. All states accept NMLS credentials without separate state approval
- D. Federal law requires all states to accept each other's licenses

Explanation: While full reciprocity is uncommon in mortgage licensing, some states streamline the process for MLOs already licensed elsewhere. They may waive certain requirements (like retaking the national exam) for applicants who meet their standards. NMLS facilitates multi-state licensing, but each state retains approval authority.

Q74: What is the MLO's obligation to notify NMLS if they are arrested?

- A. No obligation unless convicted
- ✓ **B. Must report new criminal charges or arrests within 30 days as a material change requiring NMLS record update**
- C. Must report only federal charges
- D. Must report only if the charges are mortgage-related

Explanation: New criminal charges (arrest or indictment) are material changes that must be reported to NMLS within 30 days. This applies regardless of whether the charges are mortgage-related. Failure to disclose can itself become a grounds for disciplinary action, separate from any underlying criminal matter.

Q75: What state-specific content is typically tested on the NMLS state exam component?

- A. Only federal law — state exams don't cover state-specific content
- ✓ **B. State-specific laws, regulations, and licensing requirements unique to that state's mortgage market, including state consumer protection laws**
- C. The same content as the national exam
- D. Only state property tax laws

Explanation: State exam components test knowledge of state-specific mortgage laws, regulations, and licensing requirements. This includes state-specific disclosure requirements, state consumer protection statutes, state-specific foreclosure laws, and licensing regulations that go beyond federal minimum standards.

Q76: Under the SAFE Act, what is the purpose of requiring MLOs to have their fingerprints submitted?

- A. To create a biometric ID card
- ✓ **B. To run a national criminal background check through the FBI to identify disqualifying criminal history**
- C. To verify the MLO's identity for exam purposes
- D. For social security verification purposes

Explanation: Fingerprint submission for an FBI criminal background check is required under the SAFE Act to ensure that individuals with serious criminal histories — particularly those involving fraud, dishonesty, or breach of trust — are not licensed to originate mortgage loans. This protects consumers from untrustworthy MLOs.

Q77: What must a mortgage company disclose to the state licensing authority on an ongoing basis?

A. Nothing — the initial application is sufficient

✓ **B. Material changes to the company's business (new principals, ownership changes, bankruptcy, regulatory actions) and periodic financial reports (Mortgage Call Reports)**

C. Only annual renewal information

D. Only when there are regulatory violations

Explanation: Licensed mortgage companies must maintain current and accurate information in NMLS, including: notifying regulators of material changes (ownership, principals, office locations), filing periodic financial reports (Mortgage Call Reports), and disclosing any regulatory actions, bankruptcies, or other significant events.

Q78: What is the significance of the 'written list of providers' that lenders must give borrowers under TRID?

A. A list of lenders who have pre-approved the borrower

✓ **B. A list of third-party settlement service providers that the borrower may choose from for services where shopping is permitted — using this list affects tolerance calculations**

C. A list of approved appraisers

D. A list of attorneys the lender will accept

Explanation: Under TRID, lenders must provide a written list of settlement service providers for services where the borrower can shop. If the borrower uses a provider from the list, fees for those services are subject to 10% aggregate tolerance. If the borrower chooses a provider NOT on the list, those fees have no tolerance restriction.

Q79: What is the difference between a 'mortgage banker' license and a 'mortgage broker' license?

A. They are identical — states just use different names

✓ **B. Mortgage banker licenses allow the company to fund loans with its own capital; mortgage broker licenses allow arranging loans for others without direct funding — different requirements and net worth minimums**

C. Mortgage broker licenses are for larger companies

D. Mortgage banker licenses are for banks only

Explanation: Many states license mortgage companies as either bankers (fund with own capital, can lend directly) or brokers (arrange loans for multiple lenders without funding). Different license types have different net worth, bonding, and regulatory requirements. Some states have a combined license or separate license tiers.

Q80: Under HOEPA (Section 32 of TILA), a lender must provide a special disclosure at least how many business days before consummation?

A. 1 business day

✓ **B. 3 business days**

C. 7 business days

D. 10 business days

Explanation: HOEPA requires lenders to provide a specific warning disclosure to borrowers at least 3 business days before closing on a high-cost loan. This disclosure warns borrowers they are not required to complete the loan simply because they applied.

Q81: Regulation Z's rules on loan originator compensation apply to:

- A. Only mortgage brokers
- ✓ **B. Loan originators (both brokers and lender-employed MLOs) for closed-end consumer credit secured by a dwelling**
- C. Only lenders with assets over \$10 billion
- D. Commercial mortgage transactions only

Explanation: Regulation Z's loan originator compensation rules apply to all loan originators — including both mortgage brokers and lender-employed MLOs — for closed-end consumer credit secured by a dwelling. The rules prohibit compensation tied to loan terms other than loan amount.

Q82: Under TILA, the 'three-day right to cancel' on a refinance begins on the LATEST of:

- A. The date of application
- ✓ **B. The date of consummation, delivery of the TILA disclosures, or delivery of the rescission notice**
- C. The date the loan funds
- D. The date the closing disclosure is received

Explanation: The 3-day rescission period begins on the latest of: (1) the consummation date, (2) delivery of the required TILA disclosures, or (3) delivery of the notice of right to rescind. All three days count as non-business days (business days for rescission exclude Sundays and federal holidays).

Q83: Under TILA/Regulation Z, an advertisement containing only the phrase 'No down payment required!' is:

- ✓ **A. A trigger term requiring full credit disclosure**
- B. Acceptable advertising with no disclosure requirements
- C. Prohibited regardless of what else is disclosed
- D. Only permitted for government loan advertising

Explanation: Under TILA Regulation Z, stating that no down payment is required is a trigger term. Once used, the ad must also disclose the APR (and if the rate can change, that it can vary), repayment terms, and the total amount financed or sale price if applicable.

Q84: The 'all-in APR' concept under the CFPB's mortgage rules is designed to:

- A. Include only lender fees in the rate calculation
- ✓ **B. Provide a more comprehensive cost measure by including most fees associated with obtaining credit**
- C. Calculate the rate that only includes PMI costs
- D. Replace the note rate on the promissory note

Explanation: The APR is designed to be an 'all-in' rate that reflects the total cost of credit by including the interest rate plus most required fees (origination fees, mortgage insurance, points). It allows consumers to compare loans on a more equal basis than the note rate alone.

Q85: Under RESPA, which of the following is NOT considered a 'required use' violation?

- A. A lender requiring the borrower to use the lender's in-house title company as a condition of the loan
- ✓ B. A lender recommending a title company but disclosing the affiliated relationship
- C. A seller requiring the buyer to use a specific title company and providing a discount
- D. A builder requiring the use of their mortgage company as a condition of buying a home

Explanation: Disclosing an affiliated relationship and making a recommendation is NOT required use (which is illegal). Required use — mandating the borrower use a specific provider as a condition of the loan — is prohibited. Disclosure and recommendation without coercion is permissible.

Q86: The Gramm-Leach-Bliley Act (GLBA) Privacy Rule requires lenders to provide privacy notices:

- A. Only at the time of loan application
- ✓ B. When the customer relationship is established and annually thereafter
- C. Only when sharing information with third parties
- D. Only upon consumer request

Explanation: GLBA requires financial institutions to provide privacy notices when the customer relationship is first established and annually for as long as the relationship continues. The notice must explain the institution's information-sharing practices and the consumer's opt-out rights.

Section 4: Ethics

Q87: When a conventional loan exceeds 80% LTV without mortgage insurance, it is sometimes called a:

- A. Portfolio loan with PMI waiver
- ✓ B. High-LTV loan with lender-paid MI (LPMI)
- C. Non-conforming jumbo loan
- D. Government-guaranteed loan

Explanation: When a borrower has an LTV above 80% but doesn't want borrower-paid PMI, the lender can use LPMI — absorbing the PMI cost in exchange for a higher interest rate. The 'insurance' is technically there, but paid by the lender rather than as a separate monthly charge.

Q88: In a declining real estate market, a borrower with an LTV above 100% (owing more than the home is worth) is said to be:

- A. Over-leveraged
- ✓ B. 'Underwater' or 'upside down' on the mortgage
- C. In technical default
- D. Subject to automatic PMI requirements

Explanation: A borrower is 'underwater' or 'upside down' when the loan balance exceeds the current market value of the property. This situation limits the borrower's options (cannot refinance or sell without a short sale or bringing cash) and increases default risk.

Q89: The 'gross margin' on an ARM loan is important because it:

- A. Changes at each adjustment period
- ✓ **B. Remains constant for the life of the loan and determines the fully indexed rate when added to the index**
- C. Determines the initial teaser rate
- D. Sets the maximum rate increase at each adjustment

Explanation: The margin on an ARM is fixed for the life of the loan. It represents the lender's spread over the index. Fully indexed rate = Index + Margin. Since the margin never changes, the borrower's rate primarily moves with the index.

Q90: A 'purchase agreement' or 'sales contract' in a real estate transaction establishes:

- A. The loan terms and interest rate
- ✓ **B. The purchase price, earnest money, contingencies, and closing date between buyer and seller**
- C. The title insurance terms
- D. The appraisal value of the property

Explanation: The purchase agreement (contract of sale) is the binding agreement between buyer and seller establishing the purchase price, deposit amount, contingencies (financing, inspection), timeline, and other terms. It is the foundation of the purchase transaction and required by the lender.

Q91: Under Fannie Mae's Desktop Underwriter (DU), an 'Approve/Eligible' finding means:

- ✓ **A. The loan is approved and eligible for delivery to Fannie Mae per its guidelines**
- B. The loan is only eligible for a manual underwrite
- C. The borrower is approved but the property is not eligible
- D. Final approval is not required — DU findings are binding

Explanation: A DU 'Approve/Eligible' finding means the loan meets Fannie Mae's credit risk guidelines AND is eligible for sale to Fannie Mae. The lender still needs to verify all data entered and obtain required documentation, but the basic credit risk is approved.

Q92: The VA Interest Rate Reduction Refinance Loan (IRRRL) is designed to:

- A. Provide cash out to VA loan borrowers
- ✓ **B. Streamline refinancing of an existing VA loan to a lower rate with minimal documentation**
- C. Allow veterans to purchase a second home with VA benefits
- D. Refinance a VA loan into a conventional loan

Explanation: The VA IRRRL (Interest Rate Reduction Refinance Loan) is a streamline refinance for existing VA loans. It requires minimal documentation (no new COE, no appraisal in most cases, reduced income verification) to help veterans lower their rate quickly.

Q93: A 'deed in lieu of foreclosure' occurs when:

- A. The lender acquires the property through the foreclosure process
- ✓ **B. The borrower voluntarily transfers title to the lender to avoid formal foreclosure proceedings**
- C. A third party purchases the property at a foreclosure auction
- D. The borrower refinances to avoid foreclosure

Explanation: In a deed in lieu of foreclosure, the borrower voluntarily conveys the property to the lender in exchange for release from the mortgage obligation, avoiding the formal (and more costly) foreclosure process for both parties.

Q94: Which of the following best describes the purpose of title insurance?

- A. To protect the buyer against future price declines
- ✓ **B. To protect against losses from title defects, liens, or ownership claims that existed before the purchase**
- C. To guarantee the property's physical condition
- D. To provide insurance coverage for homeowner liability

Explanation: Title insurance protects against financial loss from title defects (forged documents, undisclosed heirs, errors in public records, undisclosed liens) that existed prior to the purchase. It covers title claims arising from past events, unlike other insurance that covers future events.

Q95: Which of the following loan types generally has the most restrictive income and LTV requirements?

- A. FHA loans
- B. VA loans
- ✓ **C. Jumbo (non-conforming) loans**
- D. USDA loans

Explanation: Jumbo loans (exceeding conforming limits) are not guaranteed by GSEs or government agencies, so lenders face higher risk. As a result, jumbo loans typically require higher credit scores, larger down payments (lower LTV), lower DTI ratios, and more extensive asset reserves than conforming or government loans.

Q96: Under the ATR rule, if a lender relies on a borrower's asset depletion to calculate income, the lender must:

- A. Use 100% of the asset divided by the loan term
- ✓ **B. Follow a documented methodology consistent with secondary market guidelines, typically dividing qualifying assets by the loan term in months**
- C. Require the borrower to liquidate the assets before closing
- D. Only use assets in FDIC-insured accounts

Explanation: Asset depletion (or asset dissipation) income is calculated by dividing eligible assets by the loan term (months) to arrive at a monthly income figure. Lenders must follow a documented, reasonable methodology. Fannie Mae and Freddie Mac have specific asset depletion guidelines.

Q97: On the Closing Disclosure, 'Cash to Close' represents:

- A. The down payment only
- ✓ **B. The total amount the borrower must bring to closing (or receive as refund), accounting for down payment, closing costs, prepaid items, and credits**
- C. Only the closing costs excluding down payment
- D. The loan amount minus the purchase price

Explanation: Cash to Close on the CD shows the total amount needed from the borrower to consummate the transaction: down payment + closing costs + prepaids - lender credits - seller credits - earnest money already deposited. If negative, the borrower receives funds back.

Q98: A 'Notice of Incomplete Application' (NOI) should be sent when:

- A. The borrower's credit score is below guidelines
- B. The lender determines it cannot approve the loan
- ✓ C. The application is missing information needed to make a credit decision
- D. The lender needs a second set of pay stubs

Explanation: Under ECOA/Regulation B, when a credit application is incomplete, the lender must notify the applicant within 30 days of what information is needed, establish a reasonable deadline, and explain that failure to provide information may result in a decision based on available information.

Q99: The purpose of the 4506-C (IRS Form 4506-C) in mortgage origination is to:

- A. Authorize the lender to check the borrower's bank accounts
- ✓ B. Request verification of the borrower's tax transcripts directly from the IRS
- C. Apply for the borrower's tax identification number
- D. File the borrower's mortgage interest deduction

Explanation: IRS Form 4506-C (formerly 4506-T) authorizes the IRS to provide tax return transcripts to the lender for verification purposes. Lenders use this to verify that the income reported on the loan application matches what was reported to the IRS.

Q100: Under TRID, a 'tolerance cure' allows a lender to:

- A. Automatically waive tolerance violations
- ✓ B. Refund the amount of any tolerance violation to the borrower within 3 calendar years of consummation
- C. Issue a revised LE to correct tolerance violations before closing
- D. Charge higher fees if business costs increase

Explanation: If a fee charged at closing exceeds the TRID tolerance amount, the lender can cure the violation by refunding the excess to the borrower within 3 calendar years of consummation. Alternatively, a valid changed circumstance can allow a revised LE before closing.

Q101: Which of the following documents is used to verify a borrower's identity under the USA PATRIOT Act's Customer Identification Program (CIP)?

- A. Employment verification letter
- ✓ B. Government-issued photo identification and social security number verification
- C. Credit report only
- D. Bank statement

Explanation: Under the USA PATRIOT Act's CIP rules, financial institutions must verify customer identity using documents such as a government-issued photo ID (driver's license, passport) and verify the customer's name, date of birth, address, and identification number (SSN or ITIN).

Q102: In underwriting, 'asset reserves' are typically expressed as:

- A. Total savings balance
- ✓ B. The number of months of PITI payments the borrower has in liquid assets after closing
- C. The total value of all the borrower's assets
- D. The down payment divided by monthly income

Explanation: Asset reserves (post-closing) are expressed as months of PITI. For example, 2 months' reserves means the borrower has enough liquid assets after closing to make 2 months of full mortgage payments. Requirements vary by loan type, LTV, and risk factors.

Q103: An MLO who fails to disclose their NMLS Unique Identifier on a loan application is:

- A. Only in violation if the borrower notices
- ✓ **B. In violation of the SAFE Act, which requires the NMLS ID on all residential loan applications**
- C. Subject only to a written warning for a first offense
- D. Only in violation if the loan closes

Explanation: The SAFE Act mandates that an MLO's NMLS Unique Identifier appear on all residential mortgage loan applications. Failure to include it is a violation regardless of whether the borrower notices or the loan closes.

Q104: Which of the following represents an 'appraisal fraud' red flag that an MLO should report?

- A. An appraisal value that is exactly equal to the purchase price
- ✓ **B. The seller instructing the MLO to ask the appraiser to 'hit the number' required for the loan to close**
- C. An appraiser who completes the appraisal in 3 days
- D. An appraisal ordered through an AMC

Explanation: Instructing an appraiser to reach a predetermined value to make a loan work ('hit the number') is appraisal fraud — a federal crime. Independence of appraisers is protected by the HVCC/Dodd-Frank rules. MLOs must not communicate desired values to appraisers.

Q105: The ethical obligation of 'confidentiality' in mortgage lending requires an MLO to:

- A. Never share any information about a borrower with anyone, including the lender
- ✓ **B. Protect the borrower's personal and financial information from unauthorized disclosure**
- C. Keep the interest rate confidential from the borrower until closing
- D. Not discuss the loan with the real estate agent

Explanation: MLOs have an ethical and legal obligation (GLBA, state privacy laws) to protect borrower information from unauthorized disclosure. Information may be shared with parties in the transaction (underwriter, title company, etc.) but not disclosed beyond the legitimate transaction parties.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: A 'straw buyer' scheme involves:

- A. A first-time homebuyer who needs a co-borrower
- ✓ **B. Using a person with good credit to apply for a loan on behalf of another person who would not qualify**
- C. A legitimate gift letter arrangement between family members
- D. A down payment assistance program from a nonprofit

Explanation: A straw buyer scheme uses a person with good credit as the nominal borrower while the actual buyer (who doesn't qualify) occupies the property. This is mortgage fraud as it deceives the lender about the true borrower's identity and creditworthiness.

Q107: Under the SAFE Act, an MLO who leaves a company must ensure their sponsorship is:

- ✓ **A. Transferred to the new employer in NMLS**
- B. Cancelled so the license becomes inactive
- C. Maintained by the old employer for 30 days
- D. No action required — NMLS updates automatically

Explanation: When changing employers, the MLO must transfer their NMLS sponsorship to the new company. Without active sponsorship from a licensed entity, the MLO cannot legally originate loans. The new employer must accept the sponsorship in NMLS.

Q108: Which of the following best describes the 'continuing competency' requirement in mortgage licensing?

- A. MLOs must pass a new test every 5 years
- ✓ **B. MLOs must complete annual CE to maintain current knowledge of mortgage laws, ethics, and practices**
- C. MLOs must originate a minimum of 20 loans per year
- D. MLOs must maintain a minimum credit score of 700

Explanation: Continuing competency is maintained through annual continuing education (CE). This ensures MLOs stay current with regulatory changes, new mortgage products, and ethical standards in a rapidly changing industry.

Q109: A licensed MLO who also provides financial planning advice and charges fees for investment recommendations is:

- A. Exercising a normal MLO function
- ✓ **B. Likely engaging in activities outside the scope of their MLO license that may require additional licensing (e.g., investment adviser registration)**
- C. Exempt from all securities regulations as a licensed MLO
- D. Automatically covered by their surety bond

Explanation: MLO licensure authorizes residential mortgage origination activities. Providing investment advice for compensation generally requires separate registration as an investment adviser under federal or state securities laws. MLOs cannot assume their mortgage license covers all financial services.

Q110: The NMLS annual report (MU1 for companies, MU4 for individuals) must be filed by:

- A. July 31 of each year
- B. The anniversary of license approval
- ✓ **C. December 31 of each year (or as required by the state's renewal calendar)**
- D. Every 2 years

Explanation: NMLS annual renewals are processed through the system with most state license renewal deadlines falling on December 31. MLOs must complete CE and submit renewal applications through NMLS before the deadline to maintain active licensure.

Q111: Under state licensing laws, an MLO's surety bond amount is typically based on:

- A. The MLO's personal net worth
- ✓ **B. The volume of residential mortgage loans originated in the prior year (or a set minimum amount)**
- C. The number of states in which the MLO is licensed
- D. The MLO's credit score

Explanation: Surety bond requirements vary by state but are commonly based on the volume of residential mortgage loans originated (with higher volume = higher bond requirement) or a flat minimum amount set by state law. The bond protects consumers from MLO misconduct.

Q112: An MLO's NMLS record reflects which of the following types of regulatory actions?

- A. Only criminal convictions
- ✓ **B. Criminal history, employment history, regulatory actions (sanctions, orders), and financial disclosures**
- C. Only actions that resulted in license revocation
- D. Only federal regulatory actions, not state actions

Explanation: The NMLS record (MU4) is a comprehensive background disclosure that includes employment history, criminal history, regulatory actions/orders/sanctions from any regulator, financial disclosures (bankruptcy, judgments), and professional license history.

Q113: Under NMLS rules, an MLO who has been inactive (not employed at a licensed entity) for more than 5 years and wants to re-enter the industry must:

- A. Simply pay the renewal fee
- ✓ **B. Re-take the NMLS pre-licensure test and 20 hours of PE in most states**
- C. Only complete 8 hours of CE
- D. Apply for a new NMLS ID number

Explanation: MLOs who have not maintained an active license for more than 5 years must generally re-take the 20-hour pre-licensure education course and the NMLS SAFE test before reapplying for licensure. They retain their NMLS ID number.

Q114: Which of the following describes a 'land contract' or 'contract for deed'?

- A. A standard mortgage with a deed of trust
- ✓ **B. A seller-financing arrangement where the buyer makes payments to the seller but title remains with the seller until the balance is paid**
- C. A government land grant program
- D. A construction contract for land development

Explanation: A land contract (contract for deed) is a seller-financing arrangement where the seller retains legal title until the buyer completes all payments. The buyer gets equitable title and possession but not legal title. These carry risks for both parties and are regulated by state law.

Q115: Under TRID, 'Zero Tolerance' fees on the Loan Estimate include all of the following EXCEPT:

- A. Points
- B. Origination fees
- C. Appraisal fee for a specific appraiser required by the lender
- ✓ **D. Pest inspection fee when the borrower shops for their own provider**

Explanation: Zero tolerance applies to: lender origination charges (Section A) and transfer taxes. When the borrower uses a provider from the lender's written list (Section C), a 10% tolerance applies. A pest inspection fee chosen by the borrower from any provider has unlimited tolerance (no tolerance limits).

Q116: A 'blanket lien' in real estate refers to:

- A. A mortgage covering all personal property owned by the borrower
- ✓ **B. A security interest that covers multiple parcels or properties**
- C. An insurance policy that covers all types of title defects
- D. A judgment lien against all current and future property of a debtor

Explanation: A blanket lien encumbers multiple properties with a single mortgage. This is common in commercial real estate and portfolio lending where a developer or investor uses one loan secured by multiple parcels.

Q117: Which type of property valuation method considers the property's potential to generate rental income?

- A. Sales comparison approach
- B. Cost approach
- ✓ **C. Income approach**
- D. Assessed value approach

Explanation: The income approach to appraisal values a property based on its potential to generate rental income (Net Operating Income / Capitalization Rate). It is primarily used for income-producing properties like apartment buildings, commercial properties, and investment rentals.

Q118: Which of the following is TRUE about a 'non-conforming' loan?

- A. It cannot be sold on the secondary market
- ✓ **B. It does not meet one or more of the GSE purchase requirements (loan limits, credit standards, etc.)**
- C. It must be held by the originating lender forever
- D. It is always a subprime loan

Explanation: A non-conforming loan doesn't meet GSE (Fannie Mae/Freddie Mac) purchase criteria — either because it exceeds conforming loan limits (jumbo) or fails other guidelines (credit, LTV, documentation). Non-conforming loans can still be sold in the private (non-agency) secondary market.

Q119: Under FCRA, how long can a Chapter 7 bankruptcy remain on a consumer's credit report?

- A. 5 years
- B. 7 years
- ✓ **C. 10 years**
- D. 15 years

Explanation: Under FCRA, Chapter 7 (liquidation) bankruptcy can remain on a credit report for up to 10 years from the filing date. Chapter 13 (reorganization) bankruptcy remains for 7 years from the filing date.

Q120: The purpose of the 'Integrated Mortgage Disclosures' (TRID) rule was to:

A. Increase lender fees to borrowers

✓ **B. Combine RESPA and TILA disclosures into two simplified forms (Loan Estimate and Closing Disclosure) to improve consumer understanding**

C. Eliminate all mortgage disclosures and rely on verbal explanations

D. Only apply to jumbo mortgage transactions

Explanation: TRID replaced four separate disclosure forms (GFE, early TIL, HUD-1, final TIL) with two simplified, integrated forms — the Loan Estimate and Closing Disclosure. The goal was to make disclosures clearer, easier to compare across lenders, and more useful to consumers.
